Under a July 2025 Executive Order (EO), the Trump Administration laid the groundwork for accelerating data center development across the country.[i] The Administration's current policy direction expedites data center development, new energy, and the infrastructure that connects them. The issues addressed under this EO characterize many of the known bottlenecks to wide-scale development within *primary* markets, possibly at the expense of current residential and commercial consumers.[ii] To build on the existing approach, the administration should focus on federal actions that can accelerate development in *secondary* data center markets, ensuring that lessons learned from more mature markets are employed to streamline development in nascent ones. This memo recommends four structural strategies that will help the country systematically expand its energy capacities and strengthen future data centers on American soil.

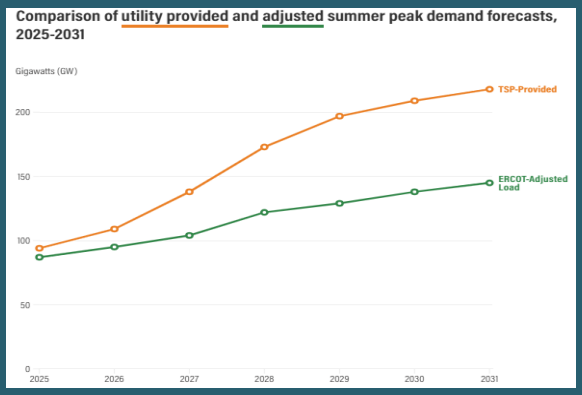
Energy Policy Recommendation

New AI data centers must deliver value to hosting communities. Experts from Harvard[iii] and Carnegie Mellon[iv] have raised alarms about utility pricing methods that transfer the cost of new energy development to existing subscribers. This practice raises residential bills to fund private infrastructure, eroding public trust, especially when projects fail to materialize.[v] Federally directed regulatory support for large-load tariffs place responsibility where the risk lies:

1. **Financial Responsibility** - To shield small customers, large-load facilities that demand over 20MW in energy should fall in a separate customer category that houses the costs related to such energy buildouts.
2. **Community Responsibility** - To mitigate the risk owned by utility companies in the initial buildout, all large-load facility contracts should operate with minimum demand guarantees and fixed terms based on projected energy needs.

While these recommendations may pose a challenge to data center developers, there exists a strong case for community-conscious buildouts as we see in the case of Oregon, one of the stronger secondary markets of U.S. To the greater benefits of the states that host them, these recommendations crowd-in serious data center proposals.

Problem to Policy | POWER Act, Oregon



Source: Electricity Reliability Council of Texas, 2025[vi]

If energy grids do not account for uncertainty, regular ratepayers will fund expensive buildouts designed for 'peaks' that never arrive. As a proactive measure, Oregon recently passed the POWER Act (HB 3546).[vii] Oregon requires the creation of separate categories for large-load facilities, as well as 10-year term contracts between them and utilities. This alleviates risks for local communities while enabling formalization for

large-load users with clear regulation.[viii] This also reduces the risk of over-estimated energy buildouts that this Texas study outlines.[ix]

Infrastructure Policy Recommendation

The Administration must prioritize adequately resourced data center projects to clear bottlenecks. Currently, electric grid queues are clogged by speculative, "phantom projects," creating delays for construction-ready projects.[x] To ensure requested capacity reflects reality, the Administration must work with Regional Transmission Organizations (RTOs) to establish national accountability standards that disincentivize speculative claims:

1. **Financial Accountability** - To demonstrate financial viability, projects requesting over 50 MW must pay a substantial refundable security deposit to the managing RTO.
2. **Timeline Accountability** - Projects must meet strict RTO construction milestones. Delays exceeding 6 months will result in forfeit of the project's capacity and deposit.

While these standards build on Federal Energy Regulatory Commission[xi] and PJM[xii] proposals, they face challenges. Strict constraints may favor hyperscalers (e.g., Amazon, Google) over smaller developers, and MW thresholds may encourage developers to split larger projects into a few smaller projects to evade requirements. To understand the potential impact of these standards, consider how similar standard-setting influenced the data center market in Ohio (see *Policy in Action* box below).

Policy in Action | The Data Center Tariff, Ohio

Ohio recently faced a grid queue clogged by speculative data center projects. In response, Ohio established the Data Center Tariff in July 2025. The Tariff requires developers to prove financial viability and adhere to a strict "load ramp period" to ensure a project's actual capacity use meets contract-stated use within a reasonable timeframe.[xiii] Since enacting the Tariff, Ohio has seen a dramatic 50 percent drop in its energy grid queue, ultimately reducing undue strain on the system and reopening intake for new service agreements for data centers in the state.[xiv]

The U.S. owns most developments in revolutionary technologies like Artificial Intelligence (AI), but global competitors are quickly catching up.[xv] To secure American hegemony for the next century, the U.S. must own the entire physical stack, not only the underlying algorithms. Such ownership means total sovereignty over the inputs of intelligence: the silicon, the talent, and most critically, the energy. The four strategies outlined in this memo position the U.S. to move forward as the global leader in AI, without sacrificing domestic interests related to energy, infrastructure, and community well-being. Beyond the generalized overarching incentives, such action-oriented micro-policies unshackle data center development from regulation and unleash an era of abundance for America.

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[v] Goldsmith, I., & Byrum, Z. (2025)

[vi] Vegas, P. (2025). *President and Chief Executive Officer Woody Rickerson Senior Vice President, Chief Operating Officer Richard L. Scheel, CPA Senior Vice President, Chief Financial Officer, and Chief Risk Officer Board of Directors Meeting ERCOT*. https://www.ercot.com/files/docs/2025/04/07/8.1-Long-Term-Load-Forecast-Update-2025-2031-and-Methodology-Changes.pdf

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